

Chapter 1: Overview of Retirement Income Planning

Without the relative stability provided by earnings from employment, retirees must find a way to convert their financial resources into a stream of income that will last the remainder of their lives. Two trends complicate this task. First, people are living longer, so those retiring in their sixties must plan to support a longer period of spending. Second, traditional defined-benefit pensions are becoming less common. Pensions once guaranteed lifetime income by pooling risks across a large number of workers, but few employees have access to them today. Instead, employees and employers now tend to contribute to various defined-contribution pensions like 401(k)s, where the employee accepts longevity and investment risk and must make investment decisions. 401(k) plans are not pensions in the traditional sense, as they shift the risks and responsibility to employees rather than employers.

If you've been saving and accumulating, you need to know what to do with your pot of assets on reaching retirement. It is not an easy task, but it is not impossible.

My goal is to help guide you along the right path to building an efficient retirement income strategy. Ultimately, this is something you may seek to do on your own, but as an informed participant in the financial services profession, I will also offer suggestions on how to obtain help if you decide to seek further assistance.

It is important to note from the outset that retirement income planning is still a relatively new field. Wealth management has traditionally focused on accumulating assets without applying further thought to the differences that happen after retirement. To put it succinctly, retirees experience reduced capacity to bear financial market risk once they have retired. The standard of living for a retiree becomes more vulnerable to enduring permanent harm as a result of financial market downturns.

While it is relatively new, retirement income planning has emerged as a distinct field in the financial services profession. It continues to suffer from